

Document 5: Operational Due Diligence – Projections & Forecasts

File Name: 05_Strategic_Plan_and_Forecast.pptx

Purpose: The "upside" case for the company's future.

Content:

This PowerPoint deck contains Apex's internal strategic plan. The first few slides are bright and optimistic, showing a 5-year plan where the company will grow to \$100M in revenue.

The Red Flag: I would bury an "Assumptions" slide near the end that is poorly formatted. It would show:

- Assumption 1: "Continued 25% year-over-year growth in the digital health sector."
- Assumption 2: "Successful renewal of the WellnessCorp contract at current rates."
- Assumption 3: "No new major competitors entering the market."

These assumptions are all flawed:

1. Industry data shows growth is slowing to 15%.
2. The legal schedule shows the WellnessCorp renewal is in dispute.
3. A new competitor, "HealthTech AI," is launching a competing platform in Q1 of the following year and has already taken two of Apex's potential clients.